



Peter Warren – Wakeling Automotive

MN-30002

Decision

Acquisition is to be subject to Phase 2 review

2 June 2026

1. Decision

1.1. On 5 March 2026, Peter Warren Automotive Holdings Limited (**Peter Warren**) lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of Peter Warren's proposed acquisition of:

- 100% of the shares of Paul Wakeling Motor Group Pty Ltd;
- 100% of the shares of Wollongong City Motors Pty Ltd; and
- the business and trading net assets of Hurrikayne Pty Ltd, relating to the Moss Vale Motor Group,

from Wakeling Automotive Group (**Wakeling Automotive**) (the **Acquisition**), as part of which Peter Warren will acquire 30 new and used car dealership sites in New South Wales (**NSW**).

1.2. The ACCC has decided under section 51ABZJ(1) of the *Competition and Consumer Act 2010* (Cth) that the Acquisition is to be subject to Phase 2 review (**Phase 2 Notice**).

1.3. The ACCC is satisfied that the Acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in a market.

1.4. If the notifying party continues with the Phase 2 review, it must pay the applicable Phase 2 fee by 12 June 2026. If the fee is not paid by the due date, the ACCC is taken to have decided to cease considering the notification.

2. Parties to the Acquisition

The acquirer – Peter Warren

2.1. Peter Warren is an ASX-listed (ASX: PWR) new and used car retailing business that owns and operates over 80 automotive dealership sites at 25 locations across the east coast of Australia and represents over 30 original equipment manufacturer (**OEM**) vehicle brands.¹ Peter Warren also supplies OEM spare parts and provides aftermarket vehicle servicing and collision repair services.

2.2. In Greater Sydney, Peter Warren's car dealership banners include Peter Warren Automotive, Macarthur Automotive, Sydney South Automotive, Mercedes-Benz North Shore, and Sydney North Shore Automotive. Peter Warren also operates dealership sites in regional NSW, Queensland and Victoria.

¹ Dealership site means a specific site or show room, or part thereof, operated under a single dealership franchise agreement with a new car OEM. A single dealership location may operate a number of dealership sites.

The target – Wakeling Automotive

- 2.3. Wakeling Automotive is a new and used car retailing business that operates 30 automotive dealership sites at 8 locations across greater Sydney, Wollongong and the Southern Highlands and represents 16 OEM vehicle brands. Wakeling Automotive also supplies OEM spare parts and provides aftermarket vehicle servicing.
- 2.4. Wakeling Automotive's car dealership banners are Paul Wakeling Automotive Group, Camden Valley Motors, Shellharbour City Motors, Wollongong City Motors, Moss Vale Motor Group, and Allan Mackay Autos.

Overlap between the parties

- 2.5. Peter Warren and Wakeling Automotive (the **Parties**) overlap in the retail supply of:
 - a. new and used cars
 - b. OEM spare parts, and car servicing and repairs
 - c. vehicle insurance and finance products.
- 2.6. The Parties' dealership sites overlap on a local basis in the Campbelltown, Narellan, and Smeaton Grange suburbs located in the **Macarthur region**² south-west of Sydney. Peter Warren and Wakeling Automotive operate 13 dealership sites and 12 dealership sites in these suburbs respectively.
- 2.7. Peter Warren operates the following car dealership sites across 2 locations:
 - a. 7 dealership sites in **Campbelltown**, being Nissan, LDV, MG, Mazda, Ford, Jaguar & Land Rover and Mercedes Benz.
 - b. 6 dealership sites in **Narellan**, being Ford, Honda, Omoda Jaecoo, Geely, Kia and Suzuki.
- 2.8. Wakeling Automotive operates the following car dealership sites across 3 locations:
 - a. 7 dealership sites in **Campbelltown**, being Hyundai, RAM, Kia, GMSV, Mitsubishi, Isuzu UTE and Volkswagen.
 - b. 4 dealership sites in **Smeaton Grange**, being GWM/Haval, Mitsubishi, Hyundai and Isuzu UTE.
 - c. 1 dealership site in **Narellan**, being Chery.
- 2.9. In these locations, the Parties overlap in the supply of the Kia brand. Peter Warren also owns a Kia dealership site in Warwick Farm in southern Sydney.
- 2.10. The Parties provide OEM spare parts and car servicing and repairs at these car dealership sites.

Industry background

- 2.11. There are over 3,000 car dealership sites in Australia, with the industry being comprised of large and small dealership chains, as well as independent dealerships.

² The Macarthur region includes Campbelltown, Smeaton Grange and Narellan and the immediate surrounding suburbs.

- 2.12. The new car retailing supply chain is comprised of:
- a. Upstream car **manufacturers**, which typically manufacture vehicles and OEM spare parts overseas.
 - b. Australian-based **OEM distributors**, which are generally subsidiaries of car manufacturers, and act as links between the car manufacturer and the Australian authorised dealer network.
 - c. New car authorised **dealers**, which typically enter into franchise agreements with OEMs and sell new cars and provide servicing and repairs.
 - d. **Independent mechanics or repairers** which repair or service cars.
- 2.13. OEMs typically set recommended retail prices (**RRPs**) for new cars, however discounting off the RRP is prevalent in the automotive industry. Dealership sites also compete on other parameters to attract customers, such as location of dealership sites, stock availability, delivery timelines and customer service and engagement.
- 2.14. New car dealership sites also typically supply OEM spare parts, and servicing and repairs. New cars generally have a warranty period of around 5 years (though this can vary) and OEMs often offer a period of free or capped price servicing. Under this offering, authorised dealership sites carry out repairs and servicing on behalf of OEMs.
- 2.15. The ACCC understands that the majority of new car buyers service their car at an authorised dealership service centre during the warranty and free/capped price servicing period, however the use of independent repairers increases significantly towards the expiry of these periods.

3. Basis for Phase 2 Notice

- 3.1. During Phase 1, the ACCC may decide that a notification of an acquisition is to be subject to Phase 2 review if it is satisfied that the acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.
- 3.2. The basis for the ACCC's Phase 2 Notice is explained below, including the nature of the theories of harm that form the basis for the ACCC's satisfaction and the matters the ACCC intends to investigate before making a determination. The two theories of harm the ACCC is considering are set out below.
- 3.3. The ACCC has taken into account the material received or available to it during its Phase 1 assessment. Material received includes information, data and documents provided by the Parties, submissions and/or responses to enquiries from third parties including other dealerships, repairers and industry bodies, and publicly available materials including surveys and reports.
- 3.4. The ACCC invites submissions from interested parties on the matters that the ACCC intends to investigate further as outlined in the boxes below and any other relevant matters. Submissions should be provided by **5 PM AEST on Tuesday, 16 June 2026** via email to mergers@accc.gov.au with the title *Submission re: Peter Warren – Wakeling Automotive*.

Relevant areas of competition

- 3.5. The ACCC considers the relevant areas of competitive overlap for the purposes of its assessment are the supply of:
- a. new cars to retail customers in the Macarthur region and surrounding areas.
 - b. servicing and repairs of cars in the Macarthur region and surrounding areas.
- 3.6. While the Parties both engage in the retail supply of OEM spare parts, used cars and vehicle insurance and finance products, due to the extent of competitive constraint provided by alternative spare part suppliers, including aftermarket parts, used car suppliers and vehicle insurance and finance product suppliers, the ACCC does not consider that there is likely to be a substantial lessening of competition in these areas of overlap if the Acquisition were put into effect.
- 3.7. This Phase 2 Notice does not consider the retail supply of OEM spare parts, used cars or vehicle insurance and finance products further.

Product markets

- 3.8. The ACCC considers that new and used cars are generally in separate markets.
- 3.9. For the supply of new cars, the ACCC considers that there is both inter- and intra-brand competition between dealership sites.
- 3.10. While competition between car dealership sites of the same OEM brand (intra-brand) is likely to exert the highest degree of competitive constraint at a retail level, inter-brand competition between dealership sites of different OEM brands also occurs, particularly at a local level between OEM brands' new cars in similar categories which offer similar prices and key features.
- 3.11. Therefore, the ACCC has considered both inter- and intra-brand competition in its competitive assessment, noting that the Parties overlap in relation to Kia on an intra-brand basis.
- 3.12. The ACCC also considers the supply of new cars to (i) retail customers (individual consumers) and (ii) commercial customers (fleet customers) comprise separate product markets, given fleet customers tend to be able to source cars from a wider geographic area than retail customers. In assessing the Acquisition, the ACCC has focused on the supply of new cars to retail customers.
- 3.13. With respect to the supply of car servicing and repairs, the ACCC considers the market is segmented between dealership service centres which supply the same OEM brands during any capped price servicing and warranty periods. The ACCC understands at this stage that towards the end of these periods, independent repairers are likely to become more of a competitive constraint.
- 3.14. As such, the ACCC has focused its assessment on the Parties' overlapping OEM brands in considering the supply of car servicing and repairs.
- 3.15. The ACCC's primary focus has been on Wakeling Automotive's Kia dealership service centre in Campbelltown and Peter Warren's Kia dealership service centres in Narellan and Warwick Farm as these dealership service centres appear to compete most

closely. However, the ACCC is continuing to consider the appropriate product dimension of competition for the purposes of its assessment.

Geographic markets

- 3.16. The ACCC considers that the relevant geographic area of competition for the supply of new cars to retail customers is the Macarthur region and surrounding areas.
- 3.17. The ACCC is continuing to assess the constraint posed by other dealership sites based on their geographic distance from the Parties' dealership sites in the Macarthur region and surrounding areas. The ACCC's current assessment is that the constraint a dealership site poses on another dealership site weakens the further away they are located from each other.
- 3.18. The ACCC considers that the relevant geographic area of competition for the supply of car servicing and repairs is the Macarthur region and surrounding areas.
- 3.19. The ACCC understands that consumers have a preference to use dealership service centres located in close proximity to where they live or work as they are less willing to travel for servicing and repairs.

Matters the ACCC intends to investigate in Phase 2

- The extent of inter-brand competition between different OEM brands at the dealership level for the supply of new cars.
- How far customers in the Macarthur region and surrounding areas are willing to travel to purchase new cars or car servicing and repairs.

Competitive effects in the supply of new cars to retail customers in the Macarthur region and surrounding areas

- 3.20. The ACCC is satisfied that the Acquisition could have the effect, or likely effect, of substantially lessening competition in the supply of new cars to retail customers in the Macarthur region and surrounding areas.
- 3.21. The Acquisition could significantly reduce the competitive constraint on Peter Warren in the supply of new cars to retail customers. With the removal of Wakeling Automotive as an independent competitor, there will be limited effective competitive alternatives.
- 3.22. As a result, post-Acquisition, Peter Warren could unilaterally reduce new car RRP discounting and/or reduce service quality in the supply of new cars.
- 3.23. Information before the ACCC indicates that, if the Acquisition were to proceed:
 - a. There will be a combination of the 2 largest suppliers of new cars to retail customers in the Macarthur region and surrounding areas. Peter Warren would

operate 25 out of 33 dealership sites (that are in close geographic proximity to each other).

- b. Peter Warren would not likely face significant competitive constraint because its closest competitor for the supply of new cars to retail customers in the Macarthur region and surrounding areas would be removed. This is because:
 - On an inter-brand level, the Parties supply similar categories of OEM brands.
 - On an intra-brand level, the Parties compete particularly closely for the supply of Kia branded cars.
 - There is overlap in the customer catchment areas between their dealership sites.
- c. Peter Warren would likely face limited competitive constraints from dealership sites in the Macarthur region and surrounding areas, or from dealership sites in southern Sydney and Wollongong.
 - Only 8 other dealership sites owned by 4 different operators would remain in the Macarthur region and surrounding areas.
 - These other dealership sites have no directly overlapping OEM brands with the Parties in the Macarthur region and surrounding areas.
 - Based on information before the ACCC, the ACCC considers that car dealership sites in southern Sydney and Wollongong would likely be weaker constraints because information before the ACCC indicates that customers have a preference to purchase a new car from nearby dealership sites.
- d. Constraints from online, email, and telephone inquiries with dealership sites further away are unlikely to be effective, given there is limited price transparency regarding new car sales prices and the ACCC understands that dealership sites tend to only provide their best discounts in person.
- e. OEM volume incentives and other remuneration incentives for individual dealership sites would be unlikely to effectively constrain Peter Warren.
- f. There appears to be a low likelihood of timely new entry or expansion at sufficient scale to replace the loss of constraint due to the Acquisition.

Matters the ACCC intends to investigate in Phase 2

- The extent to which the remaining dealership sites would meaningfully constrain Peter Warren's dealership sites in the Macarthur region and surrounding areas post-Acquisition.
- Whether and how the level of competitive constraint between dealership sites may be impacted based on their geographic proximity.
- The extent to which OEMs impose constraints on new car dealership sites to compete for the supply of new cars in the Macarthur region and surrounding areas, including through volume incentives.
- The extent to which dealership sites owned by the same company group compete with each other.

Competitive effects in the supply of servicing and repairs in the Macarthur region and surrounding areas

- 3.24. The ACCC is satisfied that the Acquisition could have the effect, or likely effect, of substantially lessening competition in the supply of car servicing and repairs in the Macarthur region and surrounding areas.
- 3.25. The Acquisition could significantly reduce the competitive constraint on Peter Warren in the supply of car servicing and repairs for Kia.
- 3.26. With the removal of Wakeling Automotive as an independent competitor, there would likely be limited effective competitive alternatives. As a result, post-Acquisition, Peter Warren could likely unilaterally reduce service quality during any capped price servicing or warranty periods and potentially increase prices during any warranty periods which are longer than any capped price servicing period.
- 3.27. Information before the ACCC indicates that:
- The Parties are likely each other's closest competitors in the supply of Kia car servicing and repairs.
 - Post acquisition, Peter Warren would be unlikely to face effective constraints from competitors within any capped price servicing periods and across any warranty periods in the Macarthur region and surrounding areas. The ACCC understands that customers are likely to only visit OEM dealership service centres which are the same brand as the car they own during these periods and the closest competing dealership service centres are in southern Sydney.
 - Only outside of capped price servicing periods or towards the end of warranty periods, Peter Warren would likely be constrained by independent repairers.

Matters the ACCC intends to investigate in Phase 2

- The extent to which competing dealership service centres would meaningfully constrain Peter Warren post-Acquisition in the Macarthur region and surrounding areas.
- The extent to which independent repairers would constraint Peter Warren during any capped price servicing or warranty periods.

Decision made by a division of the Commission constituted by a direction issued pursuant to section 19 of the *Competition and Consumer Act 2010* (Cth)